

Public Finance
BIEM – Spring 2026
Introduction to Taxes

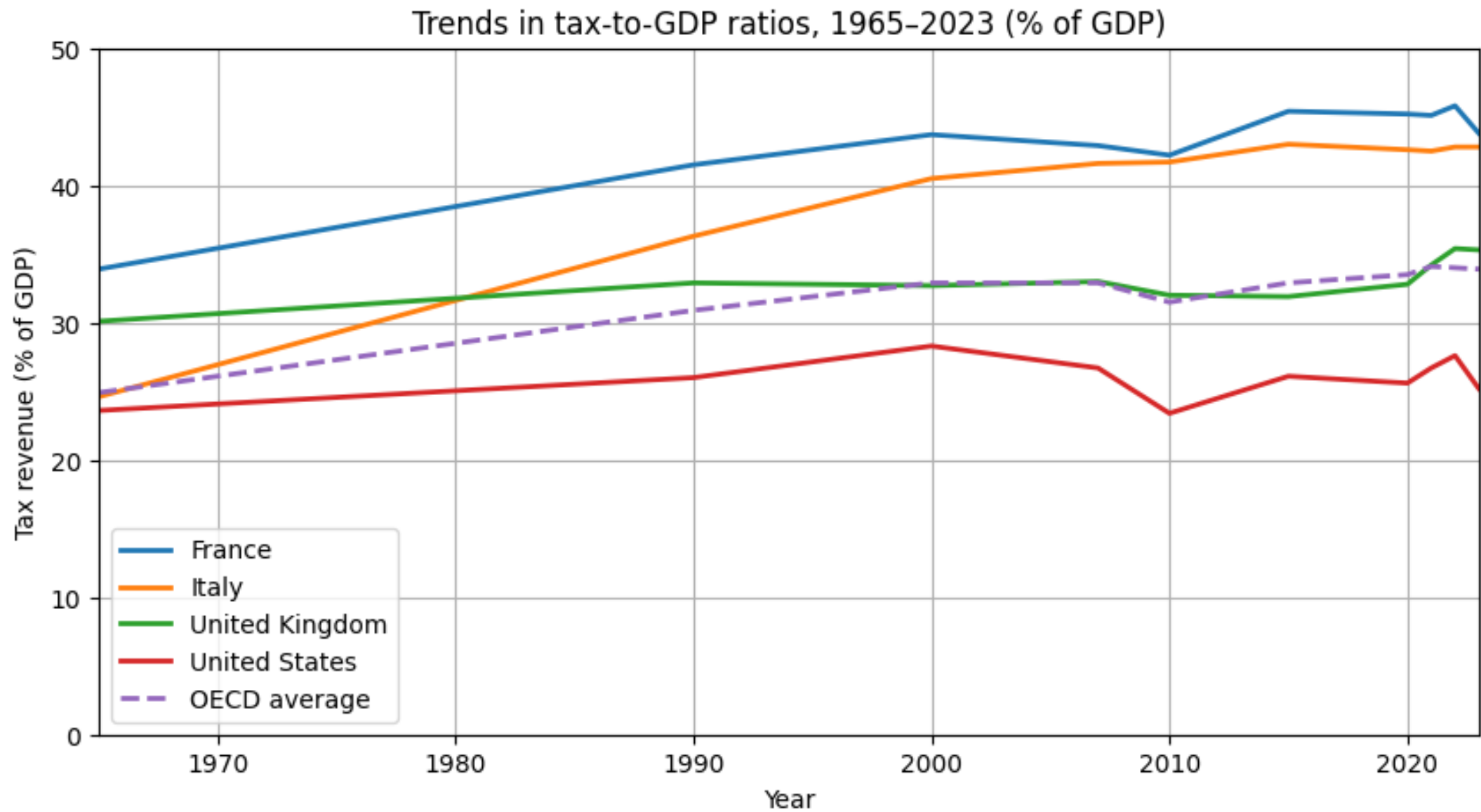


Why study taxation?

- Taxes are economically large
- In advanced economies, taxes finance a substantial share of public spending
- Tax revenue typically amounts to 30–45% of GDP
- Italy is above the OECD average, but so are many European countries

Source: OECD (2025), *Revenue Statistics*





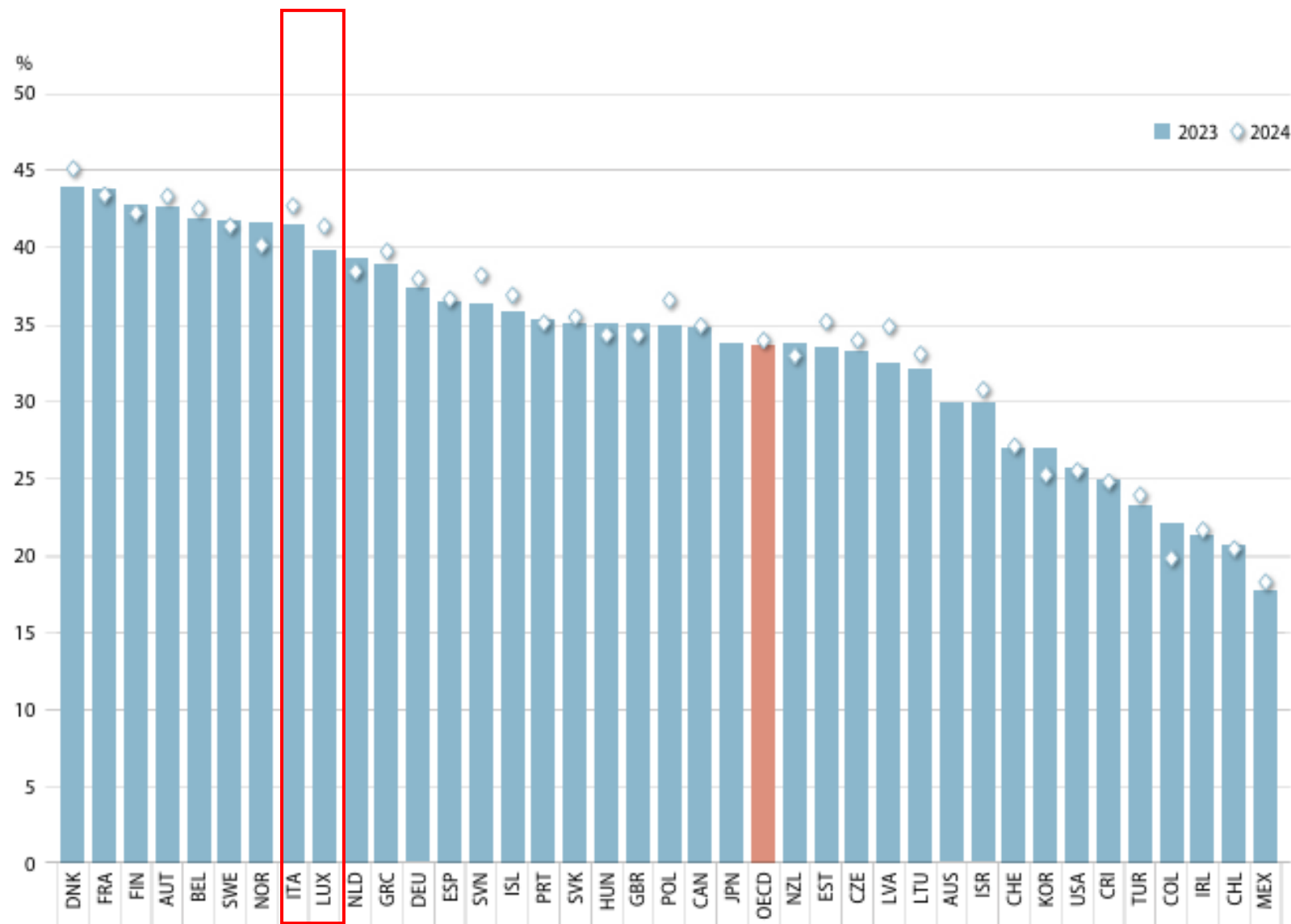
Tax revenue across countries

- Large cross-country differences
- Tax-to-GDP ratios vary widely across OECD countries
- Reflect different:
 - welfare state models
 - social insurance systems
 - political choices

Source: OECD (2025), *Revenue Statistics*



Tax-to-GDP ratios in 2023 and 2024 (as % of GDP)



Note: Preliminary data for 2024 were not available for Australia and Japan.

Source: *Revenue Statistics, 2025*



Types of Taxation (I)

- Taxes on Earnings
 - Payroll tax: A tax levied on income earned on one's job.
- Taxes on Individual Income
 - Individual income tax: A tax paid on individual income accrued during the year.
 - Capital gains: Earnings from selling capital assets, such as stocks, paintings, and houses.
- Taxes on Corporate Income
 - Corporate income tax: Tax levied on the earnings of corporations.



Types of Taxation (II)

- Taxes on Wealth
 - Wealth taxes: Taxes paid on the value of the assets, such as real estate or stocks, held by a person or family.
 - Property taxes: A form of wealth tax based on the value of real estate, including the value of real estate.
 - Estate taxes: A form of wealth tax based on the value of the estate left behind when one dies.
- Taxes on Consumption:
 - Sales taxes: Taxes paid by consumers to vendors at the point of sale.
 - Excise tax: A tax paid on the sales of particular goods, such as cigarettes or gasoline.



What do governments tax?

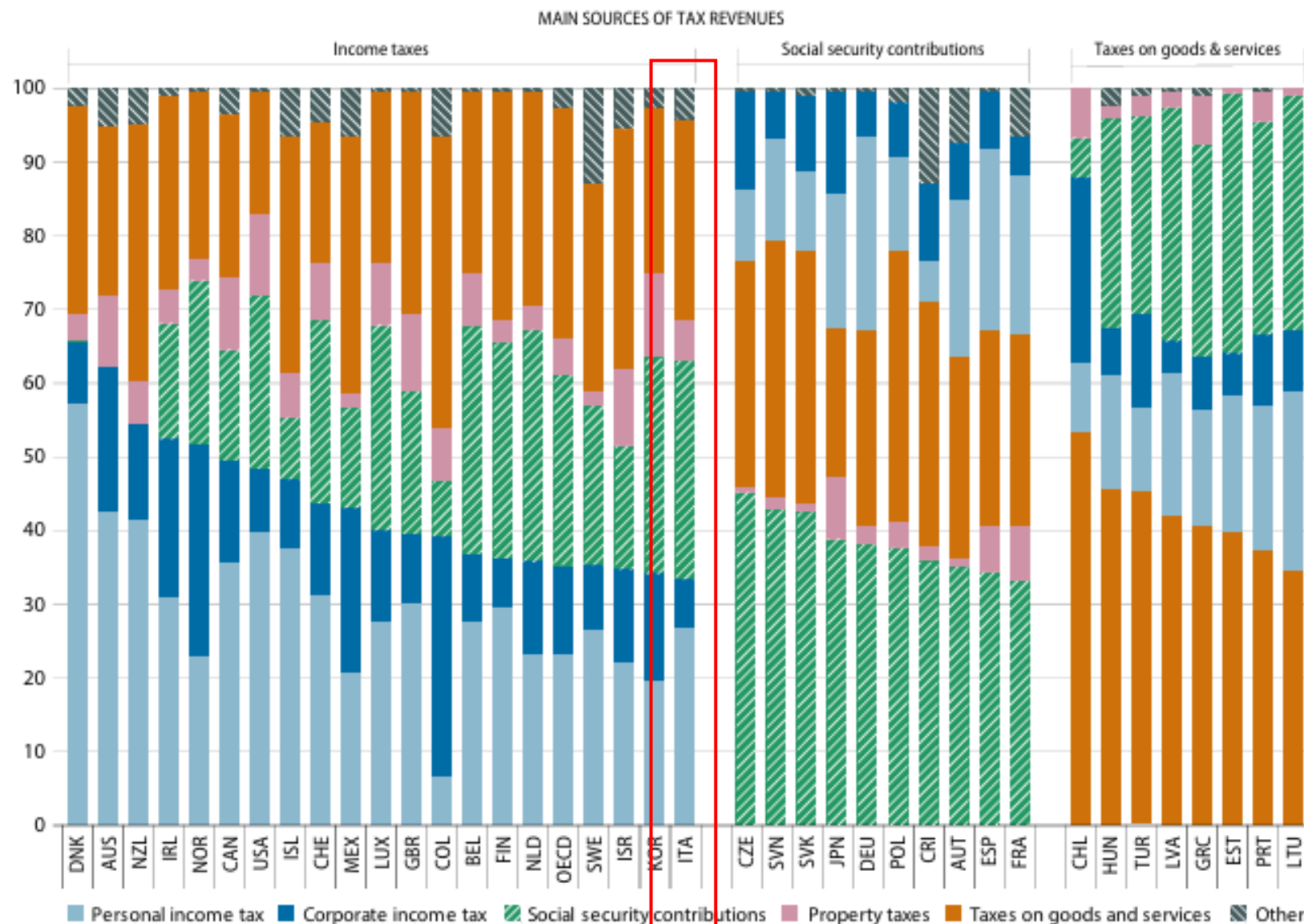
Governments raise revenue mainly from:

- **Labor taxes** (income tax + social security contributions)
- **Consumption taxes** (VAT, excises)
- **Capital & wealth taxes** (capital income, property, inheritance)

OECD (2025), *Revenue Statistics*



Tax structures in 2023 (as % of total tax revenue)



Note: Countries are grouped and ranked by those where income tax revenues (personal and corporate) form the highest share of total tax revenues, followed by those where social security contributions, or taxes on goods and services, form the highest share.

Source: *Revenue Statistics, 2025*



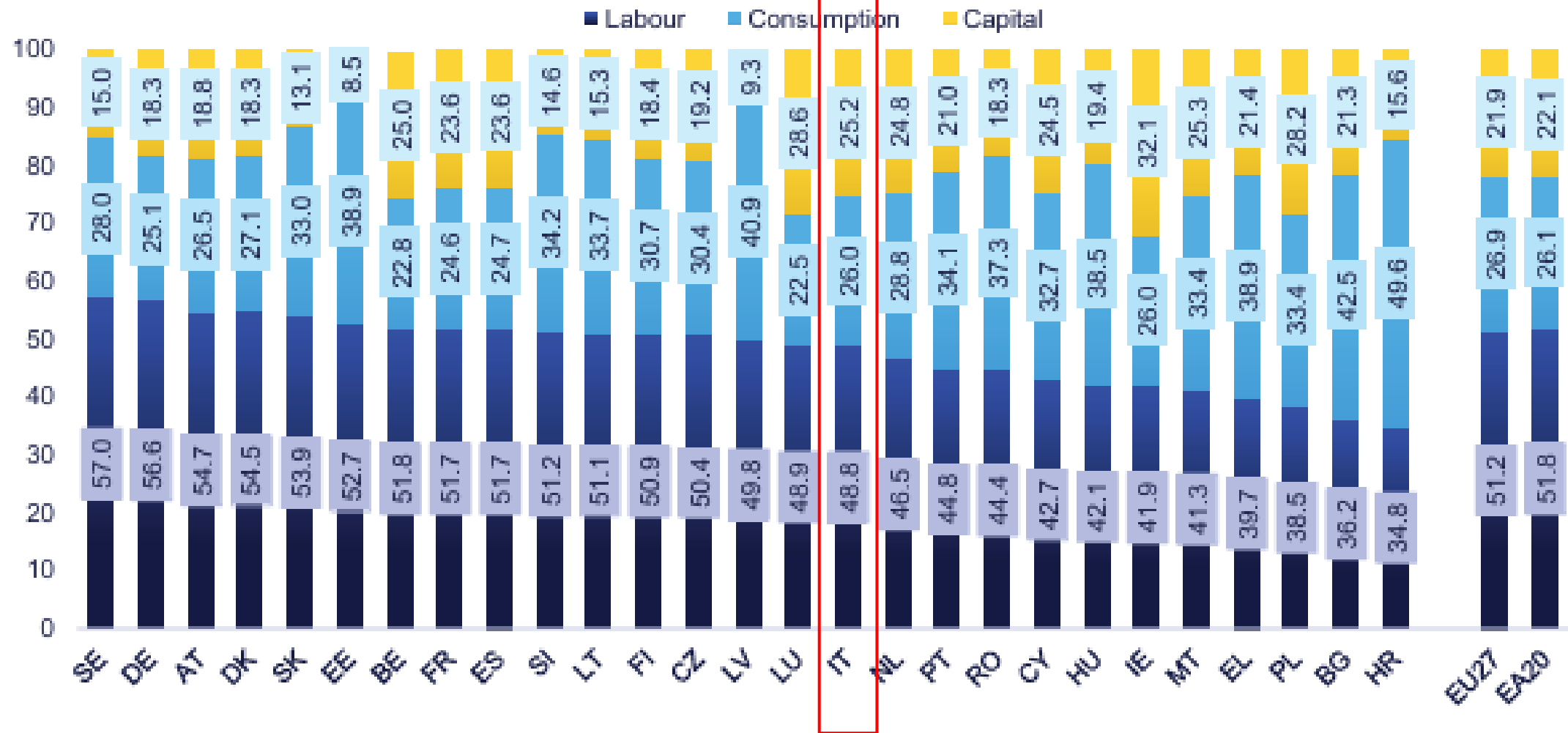
Italy's tax mix in international perspective

- A labor-heavy tax system
- Italy relies heavily on **labor taxation**
- Lower role for:
 - inheritance and wealth taxes
 - capital income taxation
- Consumption taxes play a relevant but not dominant role

Source: European Commission (2023), *Taxation Trends in the European Union*



Tax revenues by economic function in EU-27 Member States, 2023 (% of total)



Direct and indirect taxation

Two broad ways to tax:

Direct taxes: levied on income or wealth

- personal income tax
- corporate income tax
- property and inheritance taxes

Indirect taxes: levied on transactions

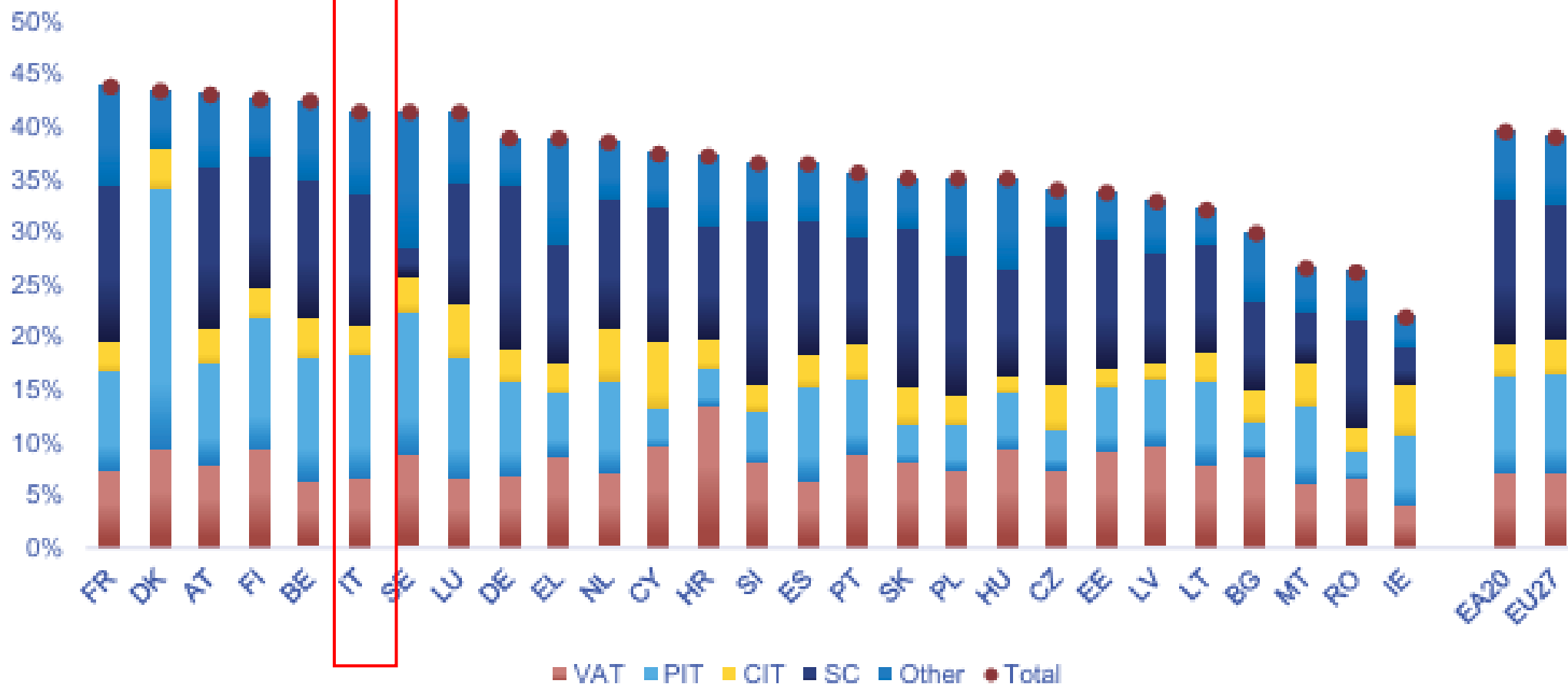
- value added tax (VAT)
- excise taxes

Direct taxes are typically progressive; indirect taxes are easier to collect.

Source: OECD (2022), *Revenue Statistics*, European Commission (2023), *Taxation Trends in the EU*



Revenues by type of tax in % of GDP, 2023



Source: *European Comission, 2023*

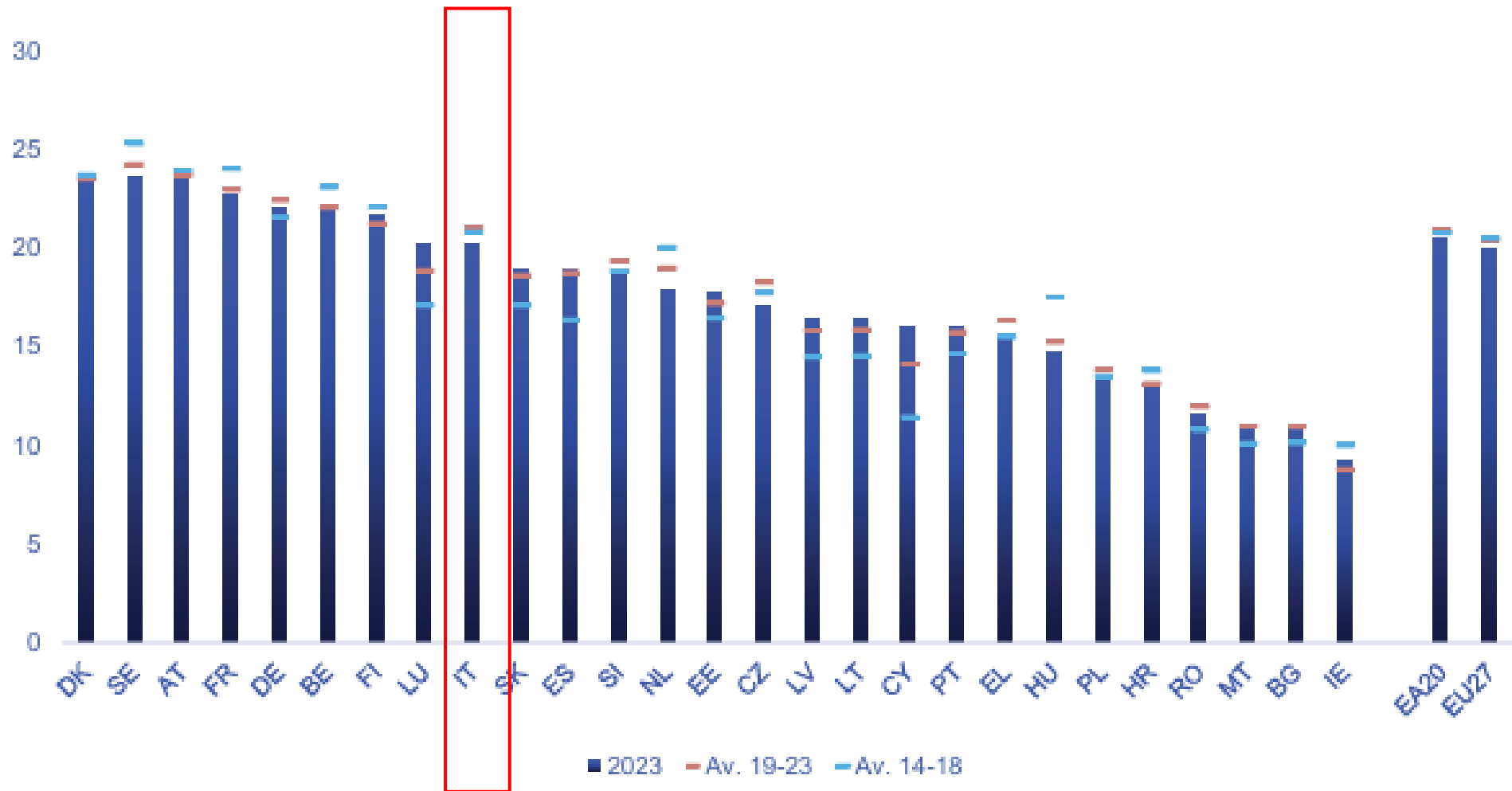
The role of labor taxation

- Labor is the main tax base
- Labor income is taxed through:
 - personal income taxes
 - employee social security contributions
 - employer social security contributions
- Together, these form the **labor tax wedge**
- Labor taxes account for the largest share of total tax revenue in most OECD countries

Source: OECD (2023), *Taxing Wages*, OECD (2022), *Revenue Statistics*



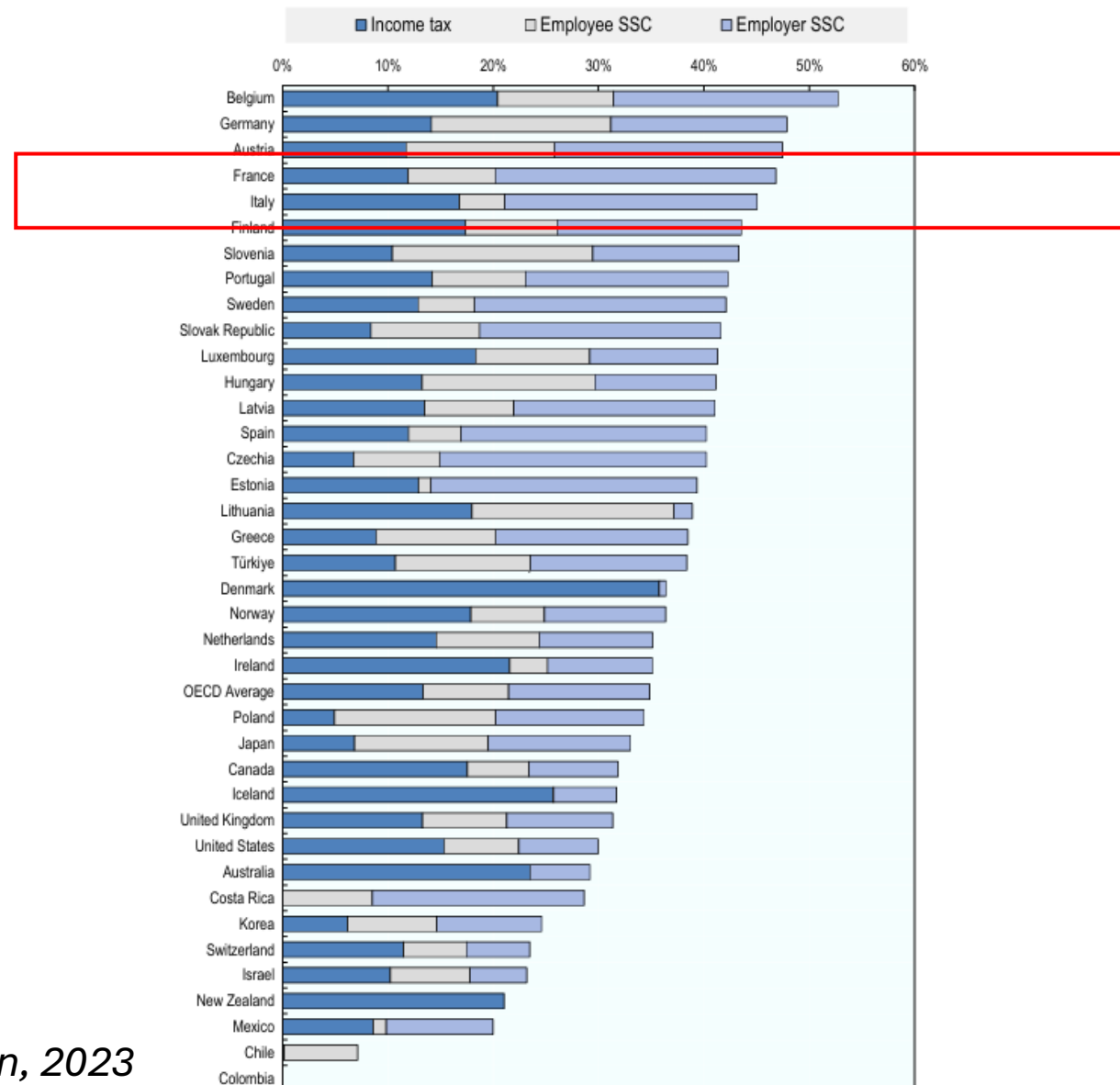
Labour tax revenues in EU Member States (% of GDP)



Source: *European Commission, 2023*

Income tax plus employee and employer social security contributions, 2023

As a % of labour costs



Source: *European Commission, 2023*



Università Commerciale
Luigi Bocconi

The labor tax wedge

What is the tax wedge?

Difference between:

- **total labor cost for the employer**
- **net take-home pay of the worker**

Captures the overall tax burden on labor

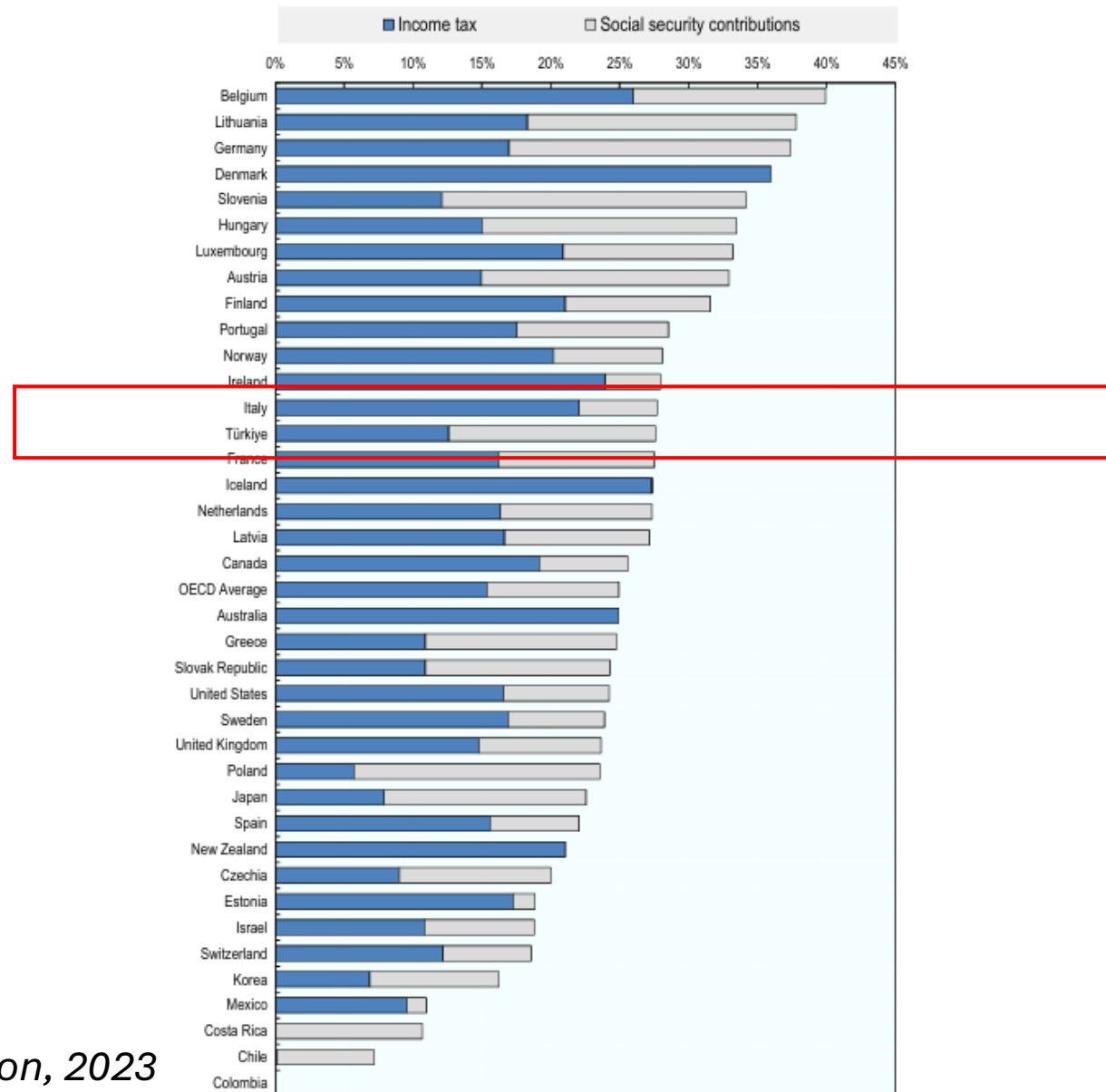
Key indicator for:

- work incentives
- labor supply decisions
- cross-country comparisons

Italy has a relatively high labor tax wedge, similar to some European countries such as Belgium and Germany, and higher than the US.

Source: OECD (2023), *Taxing Wages*

Percentage of gross wage earnings paid in income tax and employee social security contributions, 2023



Source: *European Commission, 2023*



Università Commerciale
Luigi Bocconi

Consumption taxation and VAT

- Taxing consumption
- Value Added Tax (VAT) is the main consumption tax
- Levied on spending rather than income
- VAT is:
 - a major revenue source in Europe
 - relatively neutral with respect to saving decisions
- Standard VAT rates vary substantially across countries

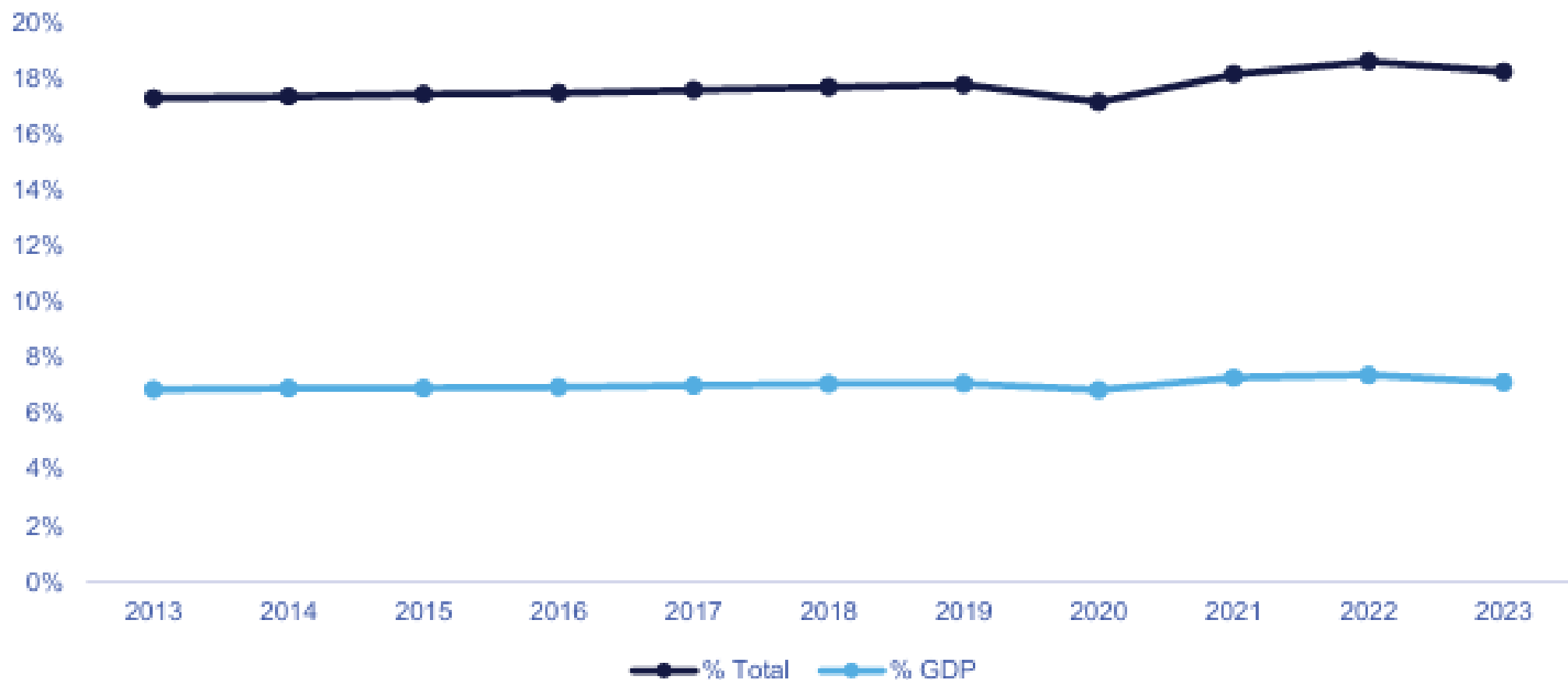
Source: OECD (2022), *Consumption Tax Trends*, European Commission (2023), *Taxation Trends in the EU*



Value Added Tax (% of GDP and % of total tax revenues), EU 27, 2013-2023

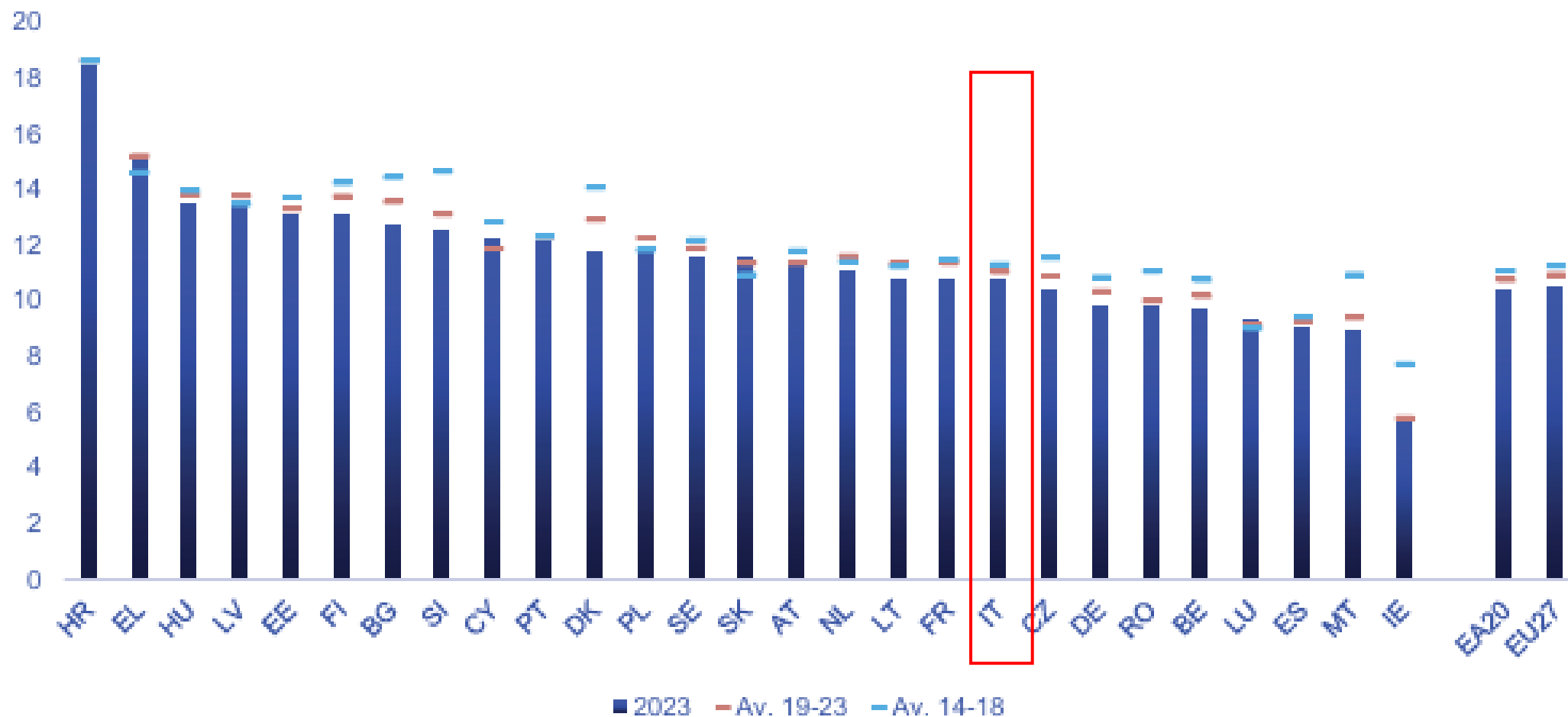


Università Commerciale
Luigi Bocconi



Source: *European Commission, 2023*

Consumption tax revenues in EU Member States (% of GDP)

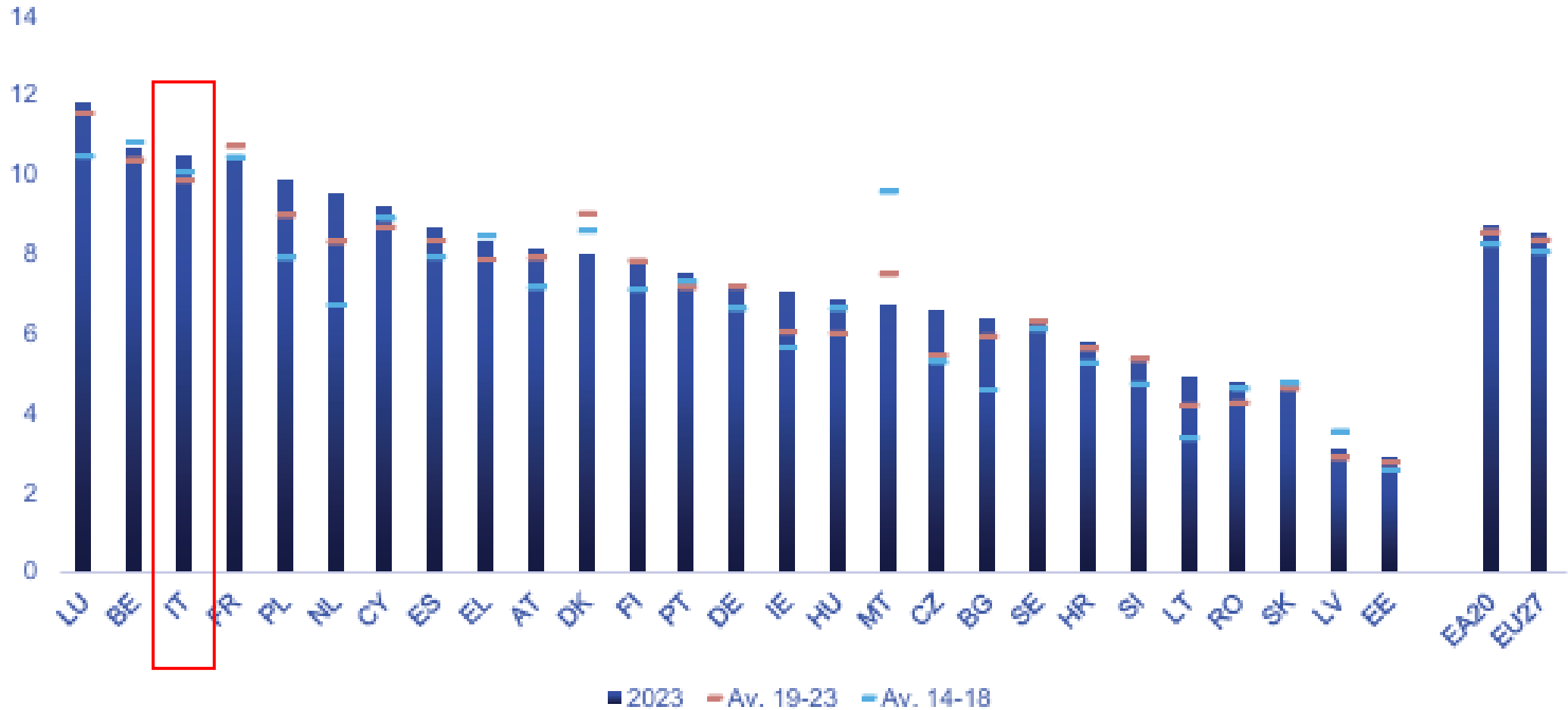


Capital income taxation

- Capital income includes **interest, dividends, and capital gains**
- Compared to labor and consumption, **capital taxes raise a small share of total revenue**
- In many countries, capital income is taxed at **flat or proportional rates**
- Several European countries follow similar approaches: for example, **Italy, Germany, and many Nordic countries apply relatively low or proportional taxes on financial income**
- Italy applies a **flat tax on most financial income**, with preferential rates for government bonds
- Cross-country differences in capital taxation are large and reflect different policy choices



Capital tax revenues in EU Member States (% of GDP)



Source: European Commission, 2023

Property and inheritance taxation

- Property taxes are typically levied on **real estate** and are often assigned to **local governments**
- Inheritance and gift taxes exist in most countries but generate **very limited revenue**
- Italy relies relatively more on **recurrent property taxation** than on inheritance taxes
- In comparison with countries such as France, Belgium, or Germany, inheritance taxation in Italy is relatively low.
- As a result, wealth taxation plays only a **minor role** in overall tax revenues

Source: European Commission (2025), *Annual Report on Taxation*



Revenue from property taxes as share of total tax revenues, 2023 vs 2013



Source: *European Comission, 2023*



Key facts about taxation

- Taxes are economically large in advanced economies
- Labor is the main tax base
- Italy relies heavily on labor taxation
- Consumption taxes play an important supporting role
- Capital and inheritance taxes raise limited revenue
- Economic behavior responds to marginal incentives

Source: OECD; European Commission; Gruber

